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Japan Chemicals

FAQs on reported JSR acquisition developments

CITI'S TAKE

As we previously reported, Bloomberg reported on September 18 that Mitsubishi Chemical and Mitsui Chemicals are the final candidates to acquire JSR. We address FAQs from investors.

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Potential synergies between Mitsubishi Chemical and JSR—Mitsubishi Chemical handles polymers, a raw material for photoresists. In addition, its subsidiary Gelest handles precursors for dry-type MOR used in EUV. In July 2022, Gelest, Lam Research, and Entegris announced a EUV precursors partnership. Lam Research and JSR had been in a dispute since October 2022 over MOR-related patents held by JSR, but in September 2025 JSR withdrew its patent challenge procedure against Lam Research and agreed to a cross-license agreement covering MOR and other areas. Furthermore, in May 2026, JSR and Entegris announced the conclusion of a cross-license agreement for patents related to MOR in EUV resists. Additionally, in August 2026 Mitsubishi Chemical announced the n of ultra-high-purity colloidal silica, a raw material for CMP slurry, while JSR handles CMP slurry.

Potential synergies between Mitsui Chemicals and JSR —Mitsui Chemicals conducted a TOB in 2021 for Honshu Chemical Industry, which handles photoresist raw materials. Honshu Chemical Industry appears particularly strong in phenol-based novolac resins used mainly for g/i-line applications. In addition, Mitsui Chemicals handles materials for CMP polishing pads. Furthermore, Mitsui Chemicals commands a high market share for EUV pellicles (with a monopolistic share particularly in silicon-based products), and there appears to be a certain degree of synergy with JSR, which holds a high share in EUV resists. Specifically, EUV pellicles are used to protect masks from dust, but if the pellicle's transmittance to EUV light is low, the EUV light reaching the wafer attenuates and the photoresist reaction slows. If the transmittance of EUV pellicles and the sensitivity of EUV resists can be optimized, competitiveness in EUV process design could improve.

Financial aspect —Bloomberg projected on September 18 that the acquisition price for JSR would exceed ¥1trn, but a September 27 Nikkei article suggested it could reach ¥1.5trn. Mitsubishi Chemical's net interest-bearing debt at the end of June 2026 was ¥1.5trn (interest-bearing debt of ¥1.98trn, cash and cash equivalents of ¥0.45trn, and a balance of funds under management of ¥0.03trn), with a net D/E ratio of 0.83 (the net D/E ratio guideline for the medium-term plan period FY3/26 to FY3/30 is 0.8 or below). Mitsui Chemicals' net interest-bearing debt at the end of June 2026 was ¥658.6bn (interest-bearing debt of ¥876.4bn, cash and cash equivalents of ¥217.8bn), with a net D/E ratio of 0.75 (the net D/E ratio guideline for the medium-term plan period FY3/26 to FY3/29 is 0.8 or below). It is difficult to say that either company has a strong financial position, and we sense investors are also concerned about the risk of equity-type fundraising. Mitsubishi Chemical holds 50.6% of Nippon Sanso Holdings shares (market cap: ¥2.44trn), but President Chikumoto has noted that those shares cannot be easily sold, and many investors also hold the view that while a partial sale might be feasible, a complete sale would be difficult.

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- **Earnings at JSR**— JSR received a TOB from JIC (Japan Investment Corporation) for c¥900bn in June 2024 and was delisted. JSR's FY3/26 results were sales of ¥440.7bn, core OP of ¥62.3bn, and depreciation of ¥49.4bn. DS, which comprises semiconductor materials and display materials, had sales of ¥225.1bn and core OP of ¥63.2bn (of which semiconductor materials had sales of ¥196.0bn), Life Sciences (LS) had sales of ¥102.1bn and core OP of ¥4.9bn, and synthetic resins (PLA) had sales of ¥92.8bn and core OP of ¥3.4bn. For LS, divestitures of participating business groups proceeded sequentially after the delisting, but at the business status briefing held in May 2026 the company explained that it had completed the rebuilding of the CDMO business. The company positions DS as a core business and is targeting core OP of ¥100bn in 2030.
- **Mitsubishi Chemical or Mitsui Chemicals**— We sense many investors hold the view that Mitsubishi Chemical probably has greater interest in acquiring JSR than Mitsui Chemicals. Indeed, at a roundtable with President Chikumoto in January 2026, he acknowledged the key role of photoresists among semiconductor materials. In addition, in a Diamond Online interview article earlier this year, President Chikumoto explained that Mitsubishi Chemical and JSR have long had a strong relationship. Based on such commentary, we sense Mitsubishi Chemical is quite interested in acquiring JSR. On the other hand, while JSR-related commentary from Mitsui Chemicals has been more limited, the company did conduct a TOB for Shinko Electric Industries in 2025 as part of a consortium with JIC, Dai Nippon Printing, and others. In addition, Mr. Tadahiro Suhara, who has served as Managing Executive Officer and Head of the ICT Solutions Business Division at Mitsui Chemicals since April 2026, has a career that includes serving as President and Representative Director of SCREEN Semiconductor Solutions and as Managing Executive Officer and Head of the Digital Solutions Business at JSR. Mitsui Chemicals also appears to have a strong relationship with JIC and JSR.

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